



Hospital Endowments (Scotland) Act 1971

1971 CHAPTER 8

An Act to provide for the constitution of a Scottish Hospital Trust; to make provision for the transfer of endowments to that Trust and for the distribution of the income of those endowments; to extend the powers of investment of the Scottish Hospital Endowments Research Trust; and for connected purposes.

[17th February 1971]

BE IT ENACTED by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

1.—(1) The Secretary of State shall constitute, in accordance with the Schedule to this Act, a Scottish Hospital Trust (hereafter in this Act referred to as “the Trust”).

Scottish
Hospital
Trust.

(2) It shall be the duty of the Trust to hold and administer endowments which

(a) were transferred to Boards of Management under section 7(2) of the Act of 1947 (including those endowments subsequently transferred to Regional Hospital Boards in pursuance of a scheme under section 8 of that Act), and

(b) are transferred to the Trust in accordance with section 2 of this Act.

(3) Any such endowment as is referred to in subsection (2)(a) of this section is hereafter in this Act referred to as a relevant endowment.

(4) The Trust shall cause proper accounts to be kept of the capital, income and expenditure vested in, received by, and

expended by them and shall cause an abstract thereof to be published in such manner as the Secretary of State may approve:

Provided that the Trust shall give reasonable access to the accounts to Boards of Management and Regional Hospital Boards.

(5) The Trust shall make an annual report of their proceedings to the Secretary of State, which report shall include an abstract of the accounts, and the Secretary of State shall lay any such report annually before each House of Parliament.

Transference of
endowments
to Trust.

2.—(1) Subject to the following provisions of this section, all relevant endowments shall, on the appointed day, be transferred to and vest in the Trust.

(2) There shall not be transferred to the Trust under this section—

(a) the income of any relevant endowment which has been accumulated, including any balance of such income which has been capitalised, by a Board of Management or a Regional Hospital Board;

(b) any relevant endowment already transferred to the Scottish Hospital Endowments Research Trust in pursuance of a scheme under section 8 of the Act of 1947;

(c) any other relevant endowment which may be excepted from transference to the Trust by regulations.

(3) Regulations may prescribe conditions attaching to the transference to the Trust of any relevant endowment.

(4) Any relevant endowment in so far as it consists of heritable estate shall be dealt with in any particular case in such manner as the Secretary of State after consultation with the Board of Management or the Regional Hospital Board concerned may determine.

Powers of
the Trust.

3. The Trust shall have the following powers—

(a) the like powers in relation to their funds as trustees have in relation to their trust estate under section 4(1) of the Trusts (Scotland) Act 1921;

(b) to purchase and lease land and to invest in any security in which trustees are authorised to invest under or in pursuance of the Trusts (Scotland) Act 1921; and they may

(i) retain any investment which they from time to time receive,

(ii) make a narrower-range investment falling within Part II of Schedule 1 to the Trustee Investments Act 1961 without first obtaining advice as required by section 6 of that Act,

1921 c. 58.

1961 c. 62.

(iii) invest in the units of a unit trust scheme or in participation certificates or in any form of participation under any trust or scheme having the effect of enabling persons to participate in the profits and income arising from the acquisition, holding, management or disposal of securities or of land;

(c) to make loans to Boards of Management and Regional Hospital Boards against their share in the capital of the Trust;

(d) to pay all the expenses of the constitution and administration of the Trust from their funds;

(e) to accept from any Board of Management or Regional Hospital Board, for investment and management on behalf of the Board of Management or the Regional Hospital Board, as the case may be—

(i) any endowments held by a Board of Management under section 7(1) of the Act of 1947 or by a Board of Management or a Regional Hospital Board under section 58 or 59 of that Act,

(ii) the accumulated income of a relevant endowment which by virtue of section 2(2)(a) of this Act does not require to be transferred to the Trust,

(iii) any future accumulations of income from endowments by a Board of Management or a Regional Hospital Board;

(f) to accept, hold, administer and dispose of any property, other than a relevant endowment or such an endowment as is referred to in paragraph (e)(i) of this section, on trust for purposes similar to those for which property is held by a Board of Management;

(g) to give advice to a Board of Management or a Regional Hospital Board relating to the investment or management of any such endowment or income as is referred to in paragraph (e) of this section and which is not transferred to the Trust under section 5(1) of this Act, and to recover any expenses reasonably incurred by them in giving such advice from the Board concerned.

4.—(1) It shall be the duty of the Trust to obtain advice on the investment of any property held by them under this Act from a person whom the Trust reasonably believe to be qualified to give such advice by his ability in and practical experience of financial matters. Duty of Trust to obtain advice on investment.

(2) For the purposes of the foregoing subsection, the advice referred to therein may be obtained from a person other than an officer or servant of the Trust on such terms as may be agreed between the Trust and that person.

Further provisions relating to transference of funds from Boards.

5.—(1) A Board of Management or a Regional Hospital Board may by agreement transfer to the Trust any endowments or income referred to in section 3(e) of this Act for investment and management on their behalf, subject to any terms or conditions set out in the agreement, notwithstanding any restriction on the powers of investment of such endowments or income.

(2) Regulations may prescribe the method of calculating the capital value of relevant endowments transferred from Boards of Management and Regional Hospital Boards to the Trust under section 2(1) of this Act and the shares of such Boards in the total endowments so transferred.

Borrowing by Boards.

6.—(1) A Board of Management or a Regional Hospital Board may borrow from the Trust against their share in the capital of the Trust.

(2) Regulations may prescribe arrangements regarding outstanding borrowings by Boards of Management and Regional Hospital Boards from relevant endowments, and the terms and conditions on which further sums may be borrowed from the Trust by such Boards.

(3) In the last foregoing subsection “outstanding borrowings” means borrowings which have not been repaid on the appointed day.

Distribution of income of endowments.

7.—(1) The Trust shall, at such date or dates in each year as the Secretary of State may determine, distribute the income from all relevant endowments transferred to them under section 2(1) of this Act and from property accepted by them in pursuance of section 3(f) of this Act, after deduction of such expenses as have been incurred under this Act or regulations made thereunder, among Boards of Management, Regional Hospital Boards and State hospitals within the meaning of Part VII of the Mental Health (Scotland) Act 1960 in accordance with schemes made from time to time by the Secretary of State by statutory instrument.

(2) Before making a scheme under this section the Secretary of State shall give to Boards of Management, Regional Hospital Boards and the committees of State hospitals an opportunity to make representations to him about the scheme.

(3) Such schemes shall provide for the income from such relevant endowments—

(a) in so far as it is distributed among Boards of Management and Regional Hospital Boards, being used by those Boards for purposes relating to hospital or specialist services within the meaning of section 3(1) of the Act of 1947, or to research into any such matters as are

mentioned in section 17 of the Act of 1947 (that is to say, matters relating to the causation, prevention, or diagnosis or treatment of illness or to the development of medical or surgical appliances including hearing aids), or for purposes intended to preserve the memory of any person or class of persons;

- (b) in so far as it is distributed to a State hospital, being used by that hospital for any purpose for which the hospital was provided including research in connection with any such purpose.

(4) No scheme shall be made under this section unless a draft has been laid before Parliament and has been approved by a resolution of each House of Parliament.

8.—(1) The total annual expenses of administration of the Administration Trust shall be limited to such maximum amount as the Secretary of Trust of State may from time to time determine.

(2) Regulations may make provision in respect of any of the following matters—

- (a) the appointment, and tenure and vacation of office, of the members of the Trust;
- (b) the procedure of the Trust;
- (c) the appointment, remuneration and conditions of service of officers and servants of the Trust;
- (d) the making of payments, not exceeding limits to be determined from time to time by the Secretary of State, from the funds of the Trust to the members thereof in respect of any loss of earnings they would otherwise have made or any additional expenses (including travelling and subsistence expenses) to which they would not otherwise have been subject, being loss or expenses necessarily suffered or incurred by them for the purpose of enabling them to perform duties as members of the Trust;
- (e) any matters consequential on or incidental to any of the aforesaid matters.

9.—(1) The accounts of the Trust shall be audited annually by an auditor appointed by the Trust.

Audit of
Trust
accounts.

(2) No person shall be qualified to be appointed auditor under this section unless he is a member of one or more of the following bodies—

- (a) the Institute of Chartered Accountants of Scotland;
- (b) the Institute of Chartered Accountants in England and Wales;

- (c) the Association of Certified and Corporate Accountants;
- (d) the Institute of Chartered Accountants in Ireland;
- (e) any other body of accountants established in the United Kingdom and for the time being recognised for the purposes of section 161(1)(a) of the Companies Act 1948 by the Secretary of State;

1948 c. 38.

but a Scottish firm may be so appointed if each of the partners therein is qualified to be so appointed.

Extension of
powers of
investment of
Scottish
Hospital
Endowments
Research
Trust.

1953 c. 41.

10. Paragraph 3 of the Schedule to the Hospital Endowments (Scotland) Act 1953 (which relates to the powers of investment of the Scottish Hospital Endowments Research Trust) shall have effect as if at the end there were added the following words " and they may—

- (a) retain any investment which they from time to time receive,
- (b) make a narrower-range investment falling within Part II of Schedule 1 to the Trustee Investments Act 1961 without first obtaining advice as required by section 6 of that Act,
- (c) invest in the units of a unit trust scheme or in participation certificates or in any form of participation under any trust or scheme having the effect of enabling persons to participate in the profits and income arising from the acquisition, holding, management or disposal of securities or of land."

1961 c. 62.

Regulations.

11.—(1) Any power conferred on the Secretary of State by this Act to make regulations shall be exercisable by statutory instrument.

(2) No regulations shall be made under section 2(2)(c), 2(3), 5(2), or 6(2) of this Act unless a draft has been laid before Parliament and has been approved by a resolution of each House of Parliament.

(3) A statutory instrument whereby the power conferred by section 8(2) of this Act is exercised shall be subject to annulment in pursuance of a resolution of either House of Parliament.

Interpretation.

1947 c. 27.

12.—(1) In this Act—

"the Act of 1947" means the National Health Service (Scotland) Act 1947;

"the appointed day" means a day appointed by order made by statutory instrument by the Secretary of State;

“ regulations ” means regulations made by the Secretary of State;

“ relevant endowment ” means any endowment referred to in section 1(2)(a) of this Act.

(2) Any reference in this Act to any enactment is a reference to that enactment as amended by any other enactment.

13.—(1) The following enactments are hereby repealed— Enactments repealed.

(a) sections 7(3) and 11(10)(ii) of, and Schedule 2 to, the Act of 1947;

(b) section 8 of the Act of 1947 and section 2 of the Hospital 1953 c. 41. Endowments (Scotland) Act 1953.

(2) The repeals specified in paragraph (b) of the foregoing subsection shall take effect on the appointed day.

14.—(1) This Act may be cited as the Hospital Endowments Short title and extent.
(Scotland) Act 1971.

(2) This Act shall extend to Scotland only.

Section 1(1).

SCHEDULE**SCOTTISH HOSPITAL TRUST**

1. The Trust shall consist of a chairman appointed by the Secretary of State and not more than seven and not less than five other members so appointed.

2. The Trust shall be a body corporate.

3. The proceedings of the Trust shall not be invalidated by any vacancy in the membership thereof or by any defect in the appointment of a member.